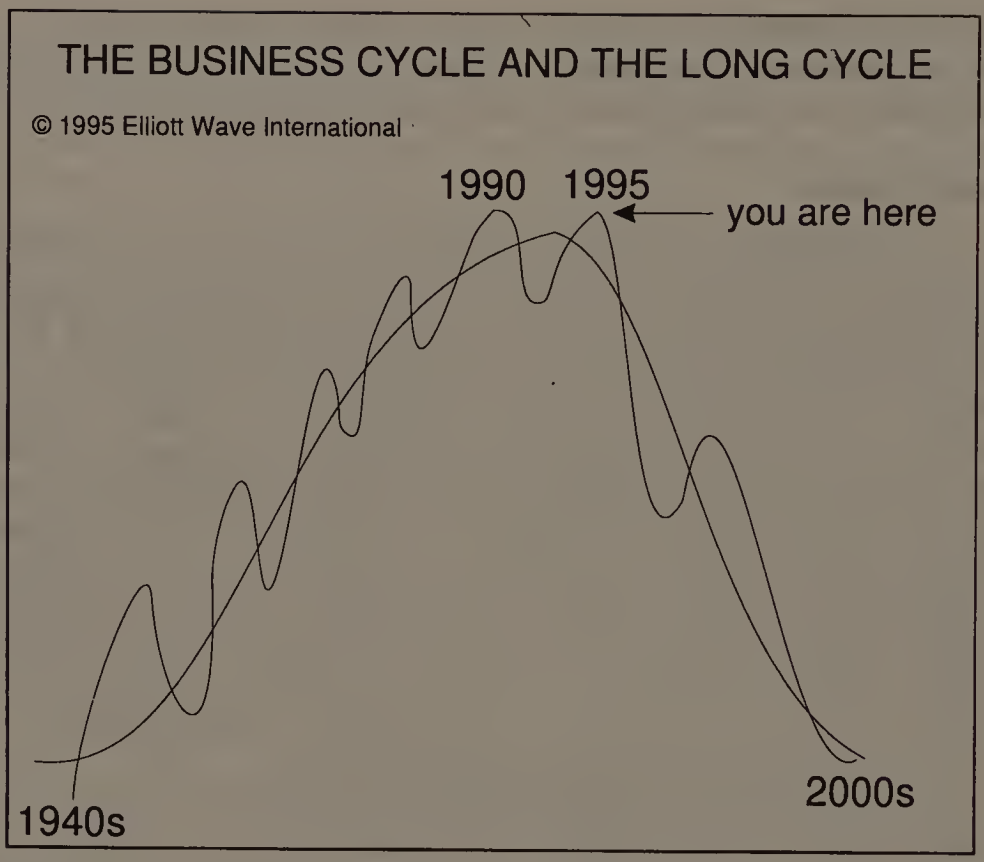


Figure 13-31

activity, and the second of those tops is due quite soon. This year should mark the final high in the stronger measures and a secondary high in the weaker ones, preceding the onset of economic collapse. I also believe that some historians will look back years from now and conclude that the trend toward depression actually began in 1990 in many measures, and that the 1991-1995 recovery was simply a temporary interruption of the forces of contraction.

Depth of the Contraction

The Elliott Wave Theorist made this unequivocal statement fifteen years ago on July 7, 1980: "After Cycle wave V peaks out, we should see a depression like never before in our history." As opposed to the dual depressions of the 1840s and 1850s and the Great Depression of the 1930s, a Grand Supercycle contraction in economic activity will definitely be deeper and will probably last longer. The last time the stock market ended a bear pattern of Grand Supercycle degree was 1784. The following year saw the beginning of a deflationary depression of corresponding degree that took place